



CIMA Management Case Study

Mock Exam 1

Flathall

Unseen [3 hours]

Task 1 - Unseen case material [45 minutes]

On a Monday morning in May 2024, you receive the following email.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Responsibility centres and funding

Hi Financial Manager

Currently, each building is treated as a cost centre, and though the costs incurred are tracked and analysed at senior management team (SMT) meetings, the chief concierge, who is the manager of the building, is neither held responsible nor does their bonus depend on cost savings achieved by them.

Now that there is a proposal, please find attached, to restructure the buildings. I think we need to look again at how each building is managed. At the next SMT meeting, I want to suggest that we begin treating each building as a profit centre or investment centre. The initial estimates show that the cost of restructuring the 55 identified buildings would be T\$ 400 million.

Please write a report in which you:

- Discuss the possible implications of treating each building as a profit centre or investment centre and give reasons for which type of responsibility centre you think is the most suitable in light of the proposed restructuring.

[Sub task a - 50%]

- Discuss the characteristics of debt and equity via new share issues as potential sources of finance for the T\$400 million that the company would require to restructure these buildings.

[Sub task b - 50%]

Kind regards,
Susanna Leong

Reference material

Extract from Executive Summary

We recently engaged Phoenix Management Consultancy, which made certain suggestions for improving our revenue and profit margins. One suggestion that the SMT is interested in is restructuring our PBSA buildings to provide three categories of living accommodation: Basic, Standard, and Luxury. The kind of accommodation and amenities we currently offer would be considered Standard.

In the case of basic rooms, the floor space currently occupied by the flats with eight bedrooms would be restructured to have 12 bedrooms, a communal area, a lounge area and three common bathrooms. Though the floor space per person will reduce, as lower rents will be fixed for these rooms, an initial market survey shows that students on a budget would prefer this accommodation.

In the case of luxury rooms, the existing flats would be restructured to have 6 bedrooms per flat with en-suite bathrooms, plusher communal area and lounges. Initial market survey suggests that these rooms would be preferred by postgraduate students who have taken a break from work to pursue higher studies and who are willing and able to pay higher rents.

The common amenities like laundry rooms, safety and security aspects and concierge services would remain the same for all three room types.

The Board has proposed this restructure will initially be done in 55 identified buildings where 20% of the flats would be converted into Basic accommodation and 10% of the flats would be converted into luxury accommodation.

Task 2 - Unseen case material [45 minutes]

You receive the following email from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Project operational risks and Integrated Reporting

Hi Financial Manager,

The Board has agreed to go ahead with the restructuring project. The requisite funding has been obtained, too. The design work is planned to begin in May 2024, and the restructuring project will be completed by August 2024 so that the new rooms are ready for occupation when the academic year starts in September 2024. A project team has been formed, and representatives from each function report directly to the CEO.

Your colleague prepared this critical path diagram yesterday evening and left it on my desk. Unfortunately, he called in sick this morning. Have a look at the attached Critical Path Diagram attached.

I need your help in drafting a report. Please:

- Identify the key operational risks that could arise in designing, obtaining permits and preparing content for the marketing stages of the restructuring project implementation and recommend responses.

[Sub task a - 60%]

I also need your help on another matter. Our CEO, Pasan Fernando, has proposed that it is time we adopt an integrated reporting (<IR>) system as it would help provide more complete information to all our stakeholders. In the second section of your report:

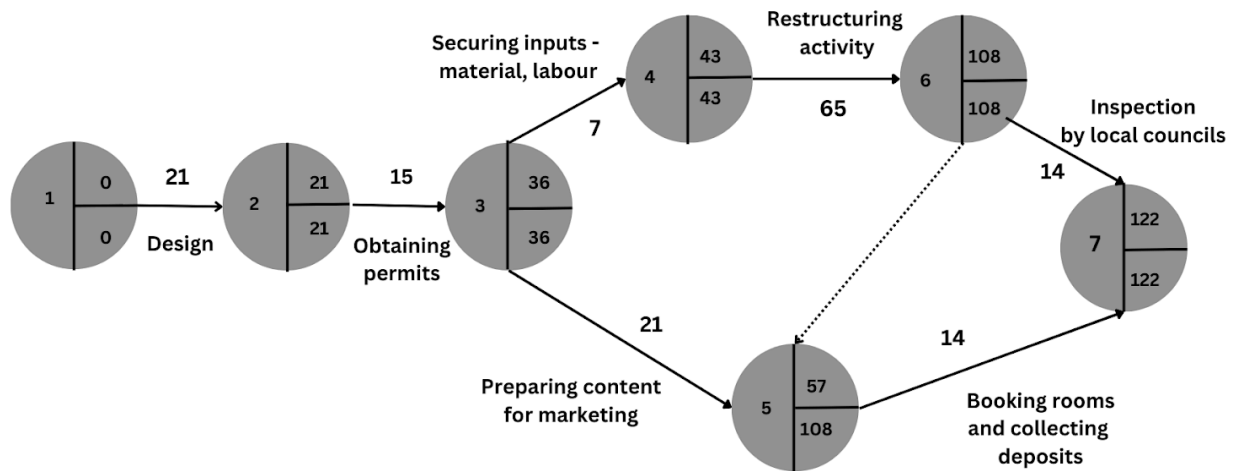
- Evaluate the CEO's belief that preparing and presenting reports on integrated reporting capitals would be helpful, especially Intellectual, Human, Social and Relationship Capitals.

[Sub task b - 40%]

Kind regards,
Susanna Leong

Reference material

Critical path chart



Task 3 - Unseen case material [45 minutes]

You receive the following email from Susanna Leong.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Employee motivation and Business model impact

Hi Financial Manager,

Though we have secured the funding, the design process is running into some major difficulties. Have a look at the executive summary attached which discusses the issue in detail. The SMT is worried and has called for an emergency meeting within an hour. Perhaps it is time to engage external consultants to design the selected buildings as per the requirements of the restructuring project.

Also, some directors have raised concerns about the possible impact of our basic, standard and luxury room offerings on our business model. Please respond with:

- A recommendation, with reasons, of the measures that could be taken to ensure the design team's engagement with this project.

[Sub task a - 40%]

- An evaluation of the impact of the new room options on the existing business model.

[Sub task b - 60%]

Kind regards,
Susanna Leong

Reference material

Executive summary - Design team issues

Our internal design team has very little experience in designing for restructuring. To date, in most cases, the original buildings were demolished, and their sites have been used for our PBSA buildings. It is only in a minority of cases that buildings were converted from offices into PBSA.

Restructuring involves many alterations to plumbing and electric wiring especially while adding an en-suite bathroom for the luxury rooms. More importantly, creating larger or smaller rooms within the existing spaces needs to be carefully designed and executed as some walls would be load-bearing which means they support structures such as roofs and other floors.

Also, stringent health and safety requirements and other legal regulations set by both Towland's national government and local town and city council would need to be adhered to.

Hence, designers are under pressure to design the restructuring plan to be aesthetically pleasing and to collaborate with the civil engineers and the legal team.

All this leads to the rejection of designs and ideas proposed by the design team and a delay in agreement over the precise nature of structural modifications for each building. This has led to demotivation and disengagement among the design staff and two resignations.

Task 4 - Unseen case material [45 minutes]

It is the first week of June. The restructuring project is underway but is facing numerous operational challenges.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Project Constraints and Negotiation

Hi Financial Manager,

You recently helped identify the key operational risks of the restructuring project. I want your help on a related issue. Have a look at the extract from the Board minutes of the current issues we are facing concerning the restructuring project and prepare a report in which you:

- Explain how project constraints of time, cost and quality would impact the completion of the restructuring project.

[Sub task a - 50%]

Though we were assured by our legal team that permits could be obtained for the restructuring of all 55 buildings, we still have not obtained the required permits from the local council of City X, where certain councillors are unwilling to grant permission for restructuring.

Further investigation revealed that the primary reason for refusal to give permission is that the second next building to ours is a multi-speciality hospital open 24/7. Certain councillors have raised concerns about not only the noise from restructuring but also the possibility of roadblocks due to the movement of delivery trucks delivering supplies for construction, hindering the smooth movement of ambulances and quicker access to patients.

- Discuss the stages of negotiation with the local council of City X and recommend whether it might be more judicious to adopt a win-lose approach and drop out of negotiations altogether.

[Sub task b - 50%]

Kind regards,
Susanna Leong

Reference material

Extract from the minutes of the Board Meeting

Date: 2nd June 2024

The Property Portfolio Director, Taisha Abbott, said:

"The restructuring project is underway. The original plan was to complete the restructuring during summer vacation - May to August - so that the rooms would be ready by September. Finance has been arranged in the form of a bank loan which will be released in agreed instalments.

But unfortunately, the project has met several setbacks. Firstly the permits were delayed due to which work could not be started. We have still not received a permit from City X. Then, the workers across Towland went on strike demanding an increase in the Minimum Wage. Also, there was a delay in the shipment of certain building materials which were ordered from overseas as the prices were lower than the prices in Towland.

As we have already started marketing our new room offerings, a delay in the project would not only mean that the new rooms are not ready by the first of September, but the students returning back to their standard rooms from summer vacation would not be able to occupy the building. This would not only have a financial impact but also also negatively impact our reputation."

Present value tables

Present value of US\$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Period s (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149
Period s (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of US\$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1 - (1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	6.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514
Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0.855	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870